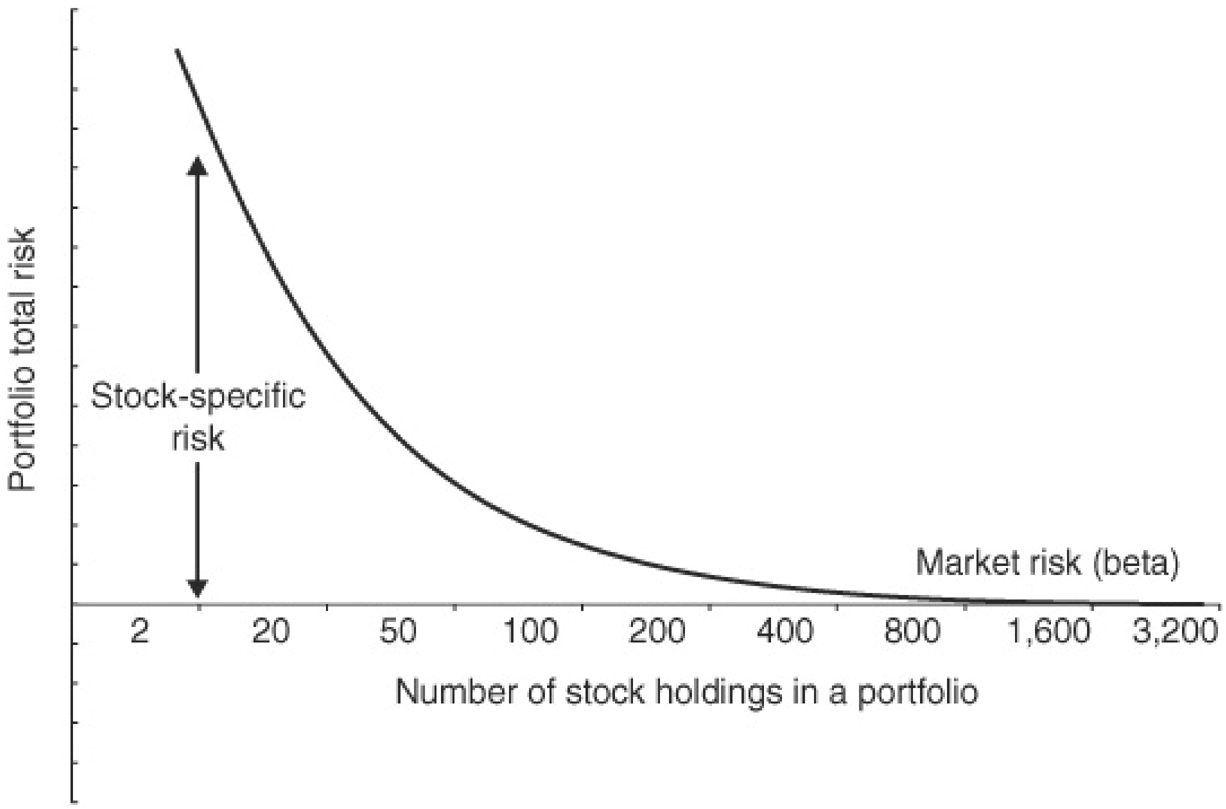

Markowitz's ideas on stock diversification eventually became known as efficient market theory (EMT). This is the general concept that markets are efficiently pricing securities based on known information, and therefore a market portfolio is the most efficient portfolio. EMT spawned modern portfolio theory (MPT), which in general is the study of the efficient allocation of asset classes within a portfolio.

It took several years for EMT and MPT to catch on in academia and longer in the commercial world. The math relied on advanced computing power to generate these efficient portfolios. Thus most people were not able to use the research effectively until the late 1970s. That was when computing power became more affordable, and in the 1980s MPT methods began to expand rapidly at bank trust departments and large private money management firms.

Today, Markowitz is known as the Father of MPT. His methodology is so prevalent that every individual investor has access to free basic asset allocation software on the Internet. It can be found on the Web pages of nearly every major mutual fund company and brokerage firm. You will even find simple investment portfolio recommendations based on MPT in popular magazines and newspapers.